Market Research

Exam code: 9BS0

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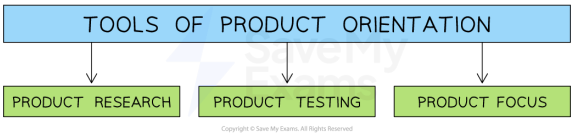
Updated on 23 January 2026

Product and market orientation

- **Product orientation** is an approach to marketing that focuses on the **characteristics of the product** rather than the needs of the consumer
  - The emphasis will be **on creating a product first** and **then finding a market**
    - The business has a belief that the product is superior; i.e. it will sell itself
  - Over time, being **too product-oriented** means the business may move further and further away from what the market is looking for, thus increasing the risk of business failure
    - E.g. Gillette's razors can be classified as a **product-oriented business**, as the business focuses on the quality of its products, and regular innovations aim to increase sales



Product orientation is an approach often used by inventors who research, test and produce a product well before market research has taken place

- **Market orientation** is an approach to marketing that focuses on the **needs of consumers** and uses this information to design products that meet customer needs
  - **Consumers** are **at the centre of marketing decisions**
  - Products will be developed that **respond to consumer needs**
  - The business is likely to benefit from increased demand, increased profits and **a valued brand image**, as its products are desirable
    - E.g. universities often develop new courses based on the feedback they receive from students and employers

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Market orientation aims to develop products to meet the needs identified by consumers during the market research process

Primary and secondary market research data

- **Market research** is the **collection, compilation and analysis of information about a market**
- Effective market research will help the business:
  - **Reduce risk** when launching new products or entering new markets
  - Anticipate the future needs and wants of consumers
  - **Understand consumer behaviour**
  - Identify potential consumer **demand**
  - Identify how much consumers are **prepared to pay** for a product/service
  - **Identify competitors** and gauge their potential strengths and weaknesses
- **Market research data** can be **quantitative** or **qualitative**
  - Both forms are useful, and any data analysis should ideally include a combination of the two

Primary research

- **Primary research** is the process of gathering information **directly from consumers** in the target market using field research methods, such as surveys, interviews, etc.
  - Primary research gathers **information that is new** and does not necessarily exist in any format

Primary research methods

Method	Explanation
Surveys	• The most widely used primary research method is **sampling** a population by using surveys • This is where you would ask a series of questions to a certain number of people (**respondents**) • The results from the sample are used to make **inferences**. This is where the results of the sample are **extrapolated** to be true for the wider population • A wide range of respondents can be reached using **online survey tools**, such as Survey Monkey
Observation	• This involves hiring someone to stand in an appropriate location and **study consumer behaviour** in a store or

Help me understand

	impact of packaging on consumer choice or the impact that the particular **placement of a product** in a store may have on consumer choice
Interviews	• These questions may be set up in a very similar way to a survey; however, an interviewer asks the questions • This method **takes longer** but does allow the interviewee to ask **follow-up questions** and gather information that could easily be missed when conducting surveys
Test marketing	• Free samples are provided for a limited period to the target market to **gauge their response to the product**
Focus groups	• Free-range discussions, led by a marketing specialist, collect **detailed feedback** from a group of people in the target market • Usually limited to a small group of 12–15 people • The group typically meets for 1.5 to 3 hours

Advantages and disadvantages of primary market research

Advantages	Disadvantages
• Information gathering is **focused on the needs of the business** and will not be available to its rivals	• **The sample size may be too small** and unrepresentative of all customers, leading to unreliable results
• The business can get **in-depth information** from respondents, for example, the reasons behind certain behaviour	• **Bias** may mean that researchers can guide respondents to **answer questions in a particular way** ○ Similarly, respondents may be influenced by the responses of others or may not provide accurate information
• Primary market research is **more up-to-date** and can be used to **ask specific**	• A business **may need to hire a specialist market research agency** to help, but this process can be

Secondary research

- **Secondary research** involves the collection, compilation and analysis of data that already exists
  - Typical methods include **purchasing market reports** from specialist companies or accessing government statistical portals that provide useful information

Advantages and disadvantages of secondary market research

Advantages	Disadvantages
• Information is **already available**, so it is **quicker to collect** than through primary research, thereby saving time	• Information has been collected for other purposes and so **may lack relevance** or may **not be** factually correct, e.g. Wikipedia
• Information is often free (e.g. government websites and internet sources such as Statista) or **cheap to collect**, leading to **lower costs** compared to primary research	• It can be **expensive** to purchase market-specific secondary data from specialist companies, e.g. Mintel reports
• It is suitable for a **small business** that lacks a large marketing budget and/or expertise	• The **information may be out of date**, especially in dynamic markets

Using ICT to support market research

- ICT refers to information and communications technology
- It can be used to support market research in the following ways:

Company websites

- Websites allow businesses to collect primary data cheaply, such as tracking consumer searches and analysing customer reviews, as well as collecting secondary data about rivals, e.g. prices and special offers
- Pop-ups used on websites can also be an effective way of gathering information

Databases

addresses so that targeted customers can be surveyed later via email

Social networking

- This focuses on **gathering information about consumers via online social channels**, such as Twitter and Facebook
- It is also useful as a method of running quick polls and surveys or tracking opinions about brands

Market segmentation

- **Market segmentation** is the process by which a single market is **divided into submarkets**, or segments
  - Each segment represents a slightly different set of **consumer characteristics**
  - Firms often segment their markets according to factors such as income, geographical location, religion, gender and/or lifestyle

Segmentation methods

Markets can be segmented by geography, customer behaviour and demographics

Geographic segmentation

- **Geographic segmentation** involves breaking up a market into groups of customers who live, work or spend their leisure time in defined **locations**
  - **Urban** and rural customers' needs relate to their surroundings
    - E.g. **city-dwellers** are likely to purchase **small, electric vehicles**, while those who live in the **countryside** tend to prefer **larger, all-terrain vehicles**
  - Customers in warmer countries make different purchasing decisions to those living in cooler climates
    - E.g. sales of **air-conditioning units** in **Italy** and **Turkey** are significantly higher than in **Germany** and the **UK**

specialties, with residents of southern *départements* generally preferring a Mediterranean diet, whilst those in more northern regions consume more dairy products and red meat

Behavioural segmentation

- Customers make different **lifestyle**, **health** or **dietary** choices that can provide opportunities for businesses
  - E.g. **travel companies** target different packages at families, thrill-seekers and those looking to pursue a specialist interest such as cuisine or art
  - **Beyond Meat**'s entire product range is aimed at vegans, vegetarians and flexitarians cutting down on animal protein
    - Its plant-based burgers and sausages are sold in supermarket meat aisles

- Some purchasing decisions are based on thorough research, whilst others tend to be **impulse buys**
  - E.g. home store **Dunelm** places low-priced household essentials such as dusters and scented candles close to the checkout area

- Other behavioural factors include
  - the **frequency of purchase**
    - E.g. whether customers buy a product often or as a one-off, for regular consumption or as an occasional treat

  - whether customers are **brand loyal**
    - E.g. those that stick with the same brand may be rewarded with loyalty benefits, such as points for each £ spent, while those that switch brands may be attracted by special offers, such as BOGOF (Buy One Get One Free)

Demographic segmentation

- **Demographic segmentation** involves breaking up a market into groups of customers with **similar characteristics**, such as **age**, **gender** and **family circumstances**
  - **Men and women** often have different purchasing preferences
    - Men tend to spend more than women when shopping
    - Women are more **price-sensitive** shoppers than men, buying more reduced-price items and using price promotions more frequently

  - As **populations age**, spending patterns are changing
    - Spending on **specialist services** such as personal care and single-person travel has increased significantly

  - Many products are aimed at different age groups, who are likely to have different interests, influences and **spending power**
    - E.g. in 2022, consumers in the United States spent an average of $1,945 on clothing, with most

populations
    - Markets for **clothing, food** and **celebration items** can be targeted at specific ethnic or religious groups

Segmentation in the crisps market

- A market for a good such as crisps is not simply seen as one market; i.e. the crisp market is divided into many **market segments**, such as:
    - **Dinner party snacks** (Walkers Sensations, Pringles, Burts) with a premium price are targeted at middle to upper earners/professionals
    - **Health-conscious crisps** (Walker's Lite, Walkers Baked, Ryvita Lite) are targeted at the health-conscious market
    - **Lunch box value snacks** (multipacks, Hula Hoops) are targeted at families and the mass market

Advantages and disadvantages of market segmentation

Advantages	Disadvantages
• Recognises that **consumers** are **not all identical** • Consumer groups do not all share the same tastes and preferences	• Not everyone within a segment will behave in the same way
• **Products** and marketing activities can be altered to **meet the different needs of different groups of consumers** and targeted more precisely	• It may be **difficult to identify a segment**, and consumers can belong to multiple segments at the same time
• **Less expensive and wasteful** than marketing products to wide market segments	• Segmentation requires **more detailed market research**, which can prove costly — but beneficial — to the business
• May increase **loyalty** if the consumer feels that their **needs are being met**, which **can lead to repeat purchases**	• A market **segment may be** identified, but it may be too **small and unprofitable** to cater to

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